

# CHAPTER 11

## “Real” Assets

### Chapter Summary

Many “real” assets, including inflation-indexed bonds (linkers), commodities, and real estate, turn out not to be that “real.” While a single linker provides a constant real return, linkers as an asset class have almost no correlation with inflation. Among commodities, only energy has been a decent inflation hedge. Gold, surprisingly, has been a poor inflation hedge. Real estate has some, but certainly far from complete, inflation-hedging ability. Boring Treasury bills (T-bills), in contrast, are the best at hedging inflation.

### 1. How Real Is Real Estate?

Carole was a consultant to a mid-sized pension fund holding a traditional portfolio of 60% equities and 40% bonds.<sup>1</sup> For a long time the fund was too small to consider direct real estate investments, but recently, thanks to large employer contributions, the fund had swelled. The trustees, worried about the threat of inflation, believed that investing in real estate could offer some protection against its ravages.

Were the trustees right? Is direct real estate a good inflation-hedging asset? Carole knew this was not only about number crunching. Real estate seemed to differ from the other asset classes—equities and bonds—in the fund’s portfolio. Although direct real estate could have a static allocation, it requires active management, typically by a professional. What’s more, bricks and mortar require ongoing capital spending if the asset is to remain competitive. The fund already had a passive allocation to traded real estate investment trusts (REITs), which had underlying real estate exposure. Are REITs different from direct real estate? Carole had to consider these additional challenges as well.

<sup>1</sup>This example is based on the case “Is Real Estate Real?” CaseWorks ID#111704.